

On behalf of: **Claimant**

Witness: **Andrei Tarasko**

No. of Witness Statement: First

Exhibit: AT-1

Date: 17 March 2026

**THE DUBAI
INTERNATIONAL
FINANCIAL CENTRE
COURTS**

Claim No. ARB-____-2026

**IN THE COURT OF FIRST
INSTANCE**

**IN AN ARBITRATION CLAIM
AND IN THE ARBITRATION**

BETWEEN:

Sibuglemet Trading Pte Ltd

**Claimant/ Claimant in the
arbitration**

- and -

POSCO

**Defendant/ Respondent in the
arbitration**

WITNESS STATEMENT OF ANDREI TARASKO

I, Andrei Tarasko, care of 101 Cecil Street, #24-10, Tong Eng Building, Singapore 069533, state as follows:

1. I am a representative of the Claimant, *i.e.* Sibuglemet Trading Pte Ltd. I have at all relevant times been the Claimant's key representative throughout ICC Case No. 27933/ELU ("**Arbitration**"), administered by the International Chamber of Commerce ("**ICC**"), against the Defendant, POSCO, in which Monastyrsky, Zyuba, Stepanov & Partners ("**MZS**") acted for the Claimant. The Claimant and the Defendant are collectively referred to as the "**Parties**".
2. Unless otherwise stated, the facts and matters stated herein are within my personal knowledge arising from my involvement in the Arbitration or are derived from documents and records in the Claimant's possession. Insofar as the facts and matters stated herein are within my personal knowledge, they are true. Insofar as the facts and matters are not within my own personal knowledge, they are true to the best of my information and belief.
3. Nothing in this statement constitutes a waiver of legal privilege. Insofar as any document is referred to herein which would otherwise attract legal or other privilege from disclosure, there is no intention of waiving privilege as to any other related documents.
4. In this statement, I will be referring to a number of documents, which are collectively exhibited hereto and marked as "**AT-1**".
5. In this statement, I describe:
 - (a) this enforcement application (**I**);
 - (b) the Parties (**II**);
 - (c) the background to the dispute (**III**);
 - (d) the Arbitration (**IV**);
 - (e) the terms of the Award (**V**);
 - (f) the Defendant's failure to comply with the Award (**VI**);
 - (g) the enforcement proceedings outside DIFC (**VII**);
 - (h) the judgment in terms of the Award (**VIII**);
 - (i) conclusion (**IX**); and
 - (j) statement of truth (**X**).

I. THE ENFORCEMENT APPLICATION

6. I make this witness statement in support of the Claimant's application ("**Enforcement Application**") for the recognition and enforcement of the final arbitral award dated 18 September 2025 ("**Award**"), issued in the Arbitration.
7. I am advised that the Enforcement Application is made pursuant to Articles 42(1) and 43 of DIFC Law No. 1 of 2008 ("**DIFC Arbitration Law**") and Article 14(A)(5) of Dubai Law No. 2 of 2025 ("**New DIFC Courts**").

Law”), seeking recognition and enforcement of the Award as per RDC 43.62 and requesting the DIFC Court to enter judgment in the terms of the Award as per RDC 43.75(2).

8. Pursuant to RDC 43.62, the Enforcement Application is made without notice in an Arbitration Claim Form filed on 17 March 2026 (“**Arbitration Claim**”).
9. The Award was issued by an arbitral tribunal comprising three arbitrators: Dr Christian W. Konrad (Claimant’s nominee), Mr Tom Sprange KC (Defendant’s nominee), and Dr Rouven F. Bodenheimer (the presiding arbitrator) (“**Tribunal**”). The Claimant commenced the Arbitration pursuant to the arbitration agreement (“**Arbitration Agreement**”) contained in Article 10 of the Contract for the Sale and Purchase of Antonovsky Coking Coal, LV PCI Coal, entered into between the Parties, dated 23 December 2020 (“**S&P Contract**”).
10. In accordance with RDC 43.66(1) read with Article 42(3) of the DIFC Arbitration Law, certified copies of the Award and the Arbitration Agreement are exhibited at **AT-1 Tab 1**¹ and **AT-1 Tab 2**,² respectively.

II. THE PARTIES

11. The Claimant is Sibuglemet Trading Pte Ltd., a limited liability company registered and incorporated in Singapore and has its registered address at 101 Cecil Street, #24-10, Tong Eng Building, Singapore 069533.
12. The Defendant is POSCO, a company incorporated and registered in the Republic of Korea and has its registered address at POSCO Center, 440 Teheran-ro, Gangnam-gu, Seoul 06194, South Korea.³

III. BACKGROUND TO THE DISPUTE

13. The factual background and the Parties’ respective positions are set out in detail at [104] to [141] of the Award. In brief:
 - (a) On 23 December 2020, the Parties entered into the S&P Contract. Under it, the Claimant, as seller, agreed to sell and deliver a specified amount of coal, which the Defendant, as buyer, agreed to purchase and accept.⁴
 - (b) On 4 February 2022, the Claimant shipped 41,644 metric tons (“**MT**”) of coal at a price fixed at US\$ 268.87 per MT to the Defendant, in accordance with Article 2.01 of the S&P Contract.⁵ On the same day, the Claimant raised an invoice numbered “025-22 (revised)” of US\$ 11,196,822.28 (“**Debt**”). The Defendant accepted the delivery without making any complaints to the Claimant.⁶
 - (c) Under Article 4.08 of the S&P Contract, the Defendant was to pay the Debt within 14 working days after the date of receipt of the full set of documents listed in Article 4.09 of the S&P Contract, which the

¹ Certified copy of the Award (**AT-1 Tab 1**)

² Certified copy of the S&P Contract, including the Arbitration Agreement (**AT-1 Tab 2**)

³ Another potential address is: 6261 Donghaean-ro, Nam-gu, Pohang-si, Gyeongsangbuk-do (Gwae-dong), South Korea. See the excerpt of the Register of Companies issued on 7 November 2025 (with English translation) (**AT-1 Tab-3**)

⁴ [109], Award

⁵ [111], Award

⁶ [111] – [113], Award

Defendant received on 8 February 2022.⁷

- (d) However, on 23 February 2022, the Defendant informed the Claimant that it noticed that a Russian company named LLC Sibuglemet Group was on the List of Special Designated Nationals and Blocked Persons (“**SDN List**”) administered by the U.S. Office of Foreign Assets Control (“**OFAC**”).⁸
- (e) By its letters dated 25 February and 7 March 2022, the Defendant informed the Claimant that its bank, Woori Bank, servicing the Defendant’s account, refused to process the payment to the Claimant under the S&P Contract.⁹
- (f) On 7 March 2022, the Defendant sent a letter to the Claimant invoking the force majeure clause under Article 11 of the S&P Contract, reasoning that the Claimant had failed to disclose its ownership structure to the Defendant as requested in the Defendant’s email dated 25 February 2022. The Defendant also informed the Claimant that Woori Bank (the Defendant’s Korean bank) continued to refuse to process the payment to the Claimant under the S&P Contract.¹⁰
- (g) In light of the Defendant’s continued non-payment of the Debt under the S&P Contract, on 19 July 2023, the Claimant commenced the Arbitration pursuant to the Arbitration Agreement.¹¹

IV. THE ARBITRATION

14. The Arbitration Agreement between the Parties is contained in Article 10 of the S&P Contract, which provides for arbitration under the auspices of the ICC, in the English language, and the laws of England and Wales as the governing law:

“Article 10. Governing Law and Arbitration

10.01 This Contract **is governed by the laws of England and Wales, without giving effect to its conflicts of laws principles.** For the avoidance of doubt, no law of any other country shall be applicable in the governance of this Contract and/or the Parties relationship in connection with the matters contemplated by this Contract. The Parties agree to exclude the court's jurisdiction under Sections 45 and 69 of the UK Arbitration Act 1996.

10.02 **Any material dispute,** which cannot be resolved between the parties arising out of this Contract **shall be referred to Arbitration in accordance with the Rules of Conciliation and Arbitration of the International Chamber of Commerce. Such arbitration shall be conducted in a third country mutually agreed upon by both parties.**” (emphasis added)

15. The procedural history of the Arbitration is set out at [21] to [103] of the Award. In brief:

- (a) On 19 July 2023, the Claimant filed its request for arbitration (“**RFA**”) with the ICC Secretariat, seeking

⁷ [114], Award

⁸ [118], Award

⁹ [119], Award

¹⁰ [120] – [121], Award

¹¹ [117], Award

payment of Debt, *i.e.*, US\$ 11,196,822.28.¹² On 24 July 2023, the ICC Secretariat acknowledged receipt of the RFA and allocated reference number 27933/ELU to the Arbitration.¹³ On 20 November 2023, the Defendant filed its Answer to RFA, including a counterclaim.¹⁴

- (b) Since the Parties were unable to agree on the place of arbitration under Article 10.02 of the S&P Contract,¹⁵ on 17 November 2023, the ICC Secretariat informed the Parties that the ICC Court would determine the place of arbitration.¹⁶ On 30 November 2023, the ICC Court, after considering the Parties' submissions, fixed the DIFC as the place (seat) of arbitration, pursuant to Article 18(1) of the Rules of Arbitration of the International Chamber of Commerce in force as of 1 January 2021 ("**ICC Rules**").¹⁷ Neither Party challenged the ICC Court's determination of the place of arbitration at any stage of the Arbitration.
- (c) On 19 February 2024, the Secretary General of the ICC appointed Dr Christian W. Konrad and Mr Tom Sprange KC as co-arbitrators, pursuant to Article 13(2) of the ICC Rules.¹⁸ On 30 April 2024, the Secretary General of the ICC confirmed Dr Rouven F. Bodenheimer as the Presiding Arbitrator, upon co-arbitrators' joint nomination.¹⁹
- (d) On 6 July 2024, the Tribunal declined the Defendant's request for bifurcation of proceedings.²⁰ On 17 July 2024, the Defendant withdrew its counterclaim, which the Tribunal accepted.²¹
- (e) The Parties thereafter exchanged written pleadings and evidence, and the oral hearings were conducted on 8 and 9 January 2025.²²
- (f) On 10 January 2025, after completion of the oral hearings, the Tribunal asked the Parties whether they would like to raise any concerns or objections against the conduct of the Tribunal. The Tribunal recorded at [95] of the Award that "*both Parties answered in the negative*" to its enquiry, following which the Tribunal closed the hearing.²³

V. THE TERMS OF THE AWARD

16. On 18 September 2025, the Tribunal rendered the Award. The ICC Secretariat's notification letter was dated 1 October 2025.²⁴ The Defendant and the Claimant received the Award on 14 and 17 October 2025,

¹² [21] and [115], Award

¹³ [22], Award

¹⁴ [28], Award

¹⁵ [26] and [27], Award

¹⁶ [28], Award

¹⁷ [33], Award, and Letter dated 4 December 2023 from the ICC Secretariat to the Parties (**AT-1 Tab 4**)

¹⁸ [44], Award

¹⁹ [48], Award

²⁰ [67], Award

²¹ [68], Award

²² [77] – [89], Award

²³ [95], Award

²⁴ Letter dated 1 October 2025 from the ICC Secretariat to the Parties (**AT-1 Tab 5**)

respectively.²⁵

17. In the dispositive part at [408(1)] of the Award, the Tribunal declared that it had jurisdiction over the dispute between the Parties.²⁶
18. The Tribunal, at [380] of the Award, held that:
 - (a) the combination of the risk that the Claimant is owned by an SDN, coupled with the seriousness of the potential consequences for the Defendant of that eventuality, did not constitute a “force majeure” event;
 - (b) the Defendant did not take sufficient steps to mitigate the risks, which it considered reason enough to withhold payment of the Debt owed, although it could have paid the Debt using alternative payment methods such as payment in currency other than US\$;
 - (c) the Defendant’s both alternative defences failed; and
 - (d) the Defendant was liable to pay to the Claimant an amount equivalent to US\$ 11,196,822.28.
19. In relation to legal and other costs, the Tribunal recorded the costs payable by the Defendant to the Claimant towards the Claimant’s legal and other costs of the Arbitration.²⁷
20. In the operative part at [408(2)-(3)] of the Award, the Tribunal issued the Award in the following terms:
 - (a) the Defendant is ordered to pay an amount equivalent to US\$ 11,196,822.28 to the Claimant; and
 - (b) the Defendant is ordered to pay all arbitration costs, and therefore reimburse the Claimant the amounts of EUR 186,500.00 for the costs of arbitration, as well as EUR 345,004.00, *plus* US\$ 25,183.39 for the Claimant’s legal costs and expenses connected to the arbitral proceedings.
21. In the operative part at the [408(4)] of the Award, the Tribunal recorded that all other claims, counterclaims and requests for relief otherwise dealt with were dismissed.
22. I am advised that under Article 41(3) of the DIFC Arbitration Law, any application to set aside an award must be made within three months of receipt of the award. The Defendant received the Award on 14 October 2025 and the three-month period expired on 14 January 2026. To the best of my knowledge and belief, the Award has not been challenged, set aside, stayed or suspended before the courts of the DIFC (the seat), and the Claimant has not been served with any such proceedings.

VI. THE DEFENDANT’S FAILURE TO COMPLY WITH THE AWARD

23. From the issuance of the Award to the date of this witness statement, the Defendant has raised no objections contesting the validity of the Award, on any grounds. To the contrary, the Defendant has repeatedly affirmed its willingness and intention to comply with the Award.
24. Despite this, as at the date of this witness statement, the Defendant is in breach of the Award. The Defendant has failed to pay any part of the sums awarded.

²⁵ Certificate dated 3 March 2026 from the Secretary General of the ICC Court (**AT-1 Tab 6**)

²⁶ [408(1)], Award

²⁷ [406], Award

25. On 23 October 2025, the Claimant’s legal counsel, MZS, issued a formal demand letter to the Defendant (“**Demand Letter**”) requiring compliance with the Award and payment of sums awarded at [408(2)–(3)] of the Award, namely:²⁸
- (a) an amount equivalent to US\$ 11,196,822.28 to the Claimant; and
 - (b) the amounts of EUR 186,500.00 for the costs of arbitration, as well as EUR 345,004.00, *plus* US\$ 25,183.39 for the Claimant’s legal costs and expenses connected to the arbitral proceedings.
26. The Demand Letter provided details of the Claimant’s bank accounts with two currency options. It also identified an alternative authorised recipient able to accept payment on the Claimant’s behalf and provided multiple account details with options to pay in four different currencies. It also invited the Defendant to propose alternative arrangements for effecting the payment. The letter stated that, should the Defendant fail to make payment by 14 November 2025, the Claimant would commence worldwide enforcement proceedings without further notice.
27. On 28 October 2025, the Defendant, through its counsel, Yulchon LLC (“**Yulchon**”), responded to the Demand Letter.²⁹ The Defendant did not dispute the validity of the Award and instead expressly affirmed its intention to comply, stating:
- “POSCO fully acknowledges and respects the arbitration award and affirms its intention to comply with the obligations imposed by the decision... We would like to emphasize that POSCO is not unilaterally refusing to comply with the award. On the contrary, it remains fully committed to resolving this matter in strict accordance with all applicable legal and regulatory requirements”.*** (emphasis added)
28. In that letter, the Defendant informed the Claimant that it was unable to comply with the Award due to alleged legal uncertainties regarding international sanctions and a pending inquiry with the OFAC. The Defendant also requested documents concerning the Claimant’s ownership structure in connection with its sanctions concerns.
29. On 30 October 2025, MZS issued a letter to Yulchon rejecting the Defendant’s alleged inability to comply with the Award.³⁰ MZS proposed a meeting on 6 November 2025 to discuss practical solutions for payment under the Award. The letter stated that, failing resolution at this discussion, the Claimant would proceed with enforcement of the Award. By its letter dated 3 November 2025, Yulchon confirmed its availability for the proposed discussion.³¹
30. On 6 November 2025, the proposed meeting took place by video conference. During that meeting, the Defendant, represented by Yulchon, reiterated its sanctions-related concerns and indicated that it intended to apply to OFAC for a specific licence to facilitate payment of the Award. The Defendant did not offer any solutions.

²⁸ Email dated 23 October 2025 from MZS to the Defendant enclosing the Demand Letter (**AT-1 Tab 7**)

²⁹ Letter dated 28 October 2025 from Yulchon to MZS (**AT-1 Tab 8**)

³⁰ Letter dated 30 October 2025 from MZS to Yulchon (**AT-1 Tab 9**)

³¹ Letter dated 3 November 2025 from Yulchon to MZS (**AT-1 Tab 10**)

31. In subsequent email correspondence dated 8 and 11 November 2025, Yulchon reiterated that the Defendant was discussing alternative payment arrangements with major Korean banks for facilitating the payment. It repeated its request for documents concerning the Claimant's ownership structure. It stated that if the Claimant's ownership documents could not be made available, the only practical way would be to apply for a specific licence with the OFAC for facilitating the payment. In both these emails, the Defendant continued to convey its commitment to take every reasonable effort to comply with the Award.³²
32. On 17 November 2025, Yulchon informed the Claimant that the Defendant would be applying for the specific licence with the OFAC, since the Korean banks would allegedly be unlikely to process payment without such a licence.
33. On 23 December 2025, Yulchon informed the Claimant that the Defendant, on 22 December 2025, had applied for a specific licence to the OFAC seeking authorisation for the Defendant to make the payment.³³
34. On 27 January 2026, Yulchon confirmed that its application to the OFAC remained under review and that the Defendant had submitted additional materials in that regard.³⁴
35. The payment of the Debt is capable of implementation without a U.S. nexus, as it can be effected in a currency other than US\$. In fact, the Tribunal records at [380(b)] of the Award that the Defendant could have paid the Debt using alternative payment methods such as payment in currency other than the US\$. However, the Defendant failed to do so, prompting enforcement action on the Award within and outside DIFC.

VII. ENFORCEMENT PROCEEDINGS OUTSIDE DIFC

36. On 1 December 2025, the Claimant filed an application before the Moscow Commercial Court seeking recognition and enforcement of the Award ("**Russian Enforcement Application**").
37. On 8 December 2025, the Moscow Commercial Court accepted this application for consideration and scheduled a hearing for 10 February 2026.
38. On 23 January 2026, MZS informed Defendant's counsel Yulchon and Dentons that the Claimant had filed its Russian Enforcement Application, which was accepted for consideration on 8 December 2025.
39. On 26 January 2026, Dentons informed the Claimant's counsel that it no longer represented the Defendant in relation to this matter.³⁵
40. On 27 January 2026, Yulchon informed the Claimant that it did not represent the Defendant in the Russian proceedings and that it could not accept service on the Defendant's behalf in that jurisdiction.³⁶
41. On 10 February 2026, the Moscow Commercial Court conducted a preliminary hearing on the Russian Enforcement Application and scheduled the next hearing for 17 March 2026.

³² Email correspondence from 28 October 2025 to 27 January 2026 between Yulchon and MZS (AT-1 Tab 11)

³³ Email correspondence from 28 October 2025 to 27 January 2026 between Yulchon and MZS (AT-1 Tab 11), Defendant's Application for specific license with the OFAC dated 22 December 2025 (AT-1 Tab 12)

³⁴ Email dated 27 January 2026 from Yulchon to MZS (AT-1 Tab 11)

³⁵ Email correspondence from 23 January 2026 to 26 January 2026 between MZS and Dentons (AT-1 Tab 13)

³⁶ Email dated 27 January 2026 from Yulchon to MZS (AT-1 Tab 11)

VIII. JUDGMENT IN TERMS OF THE AWARD

42. The Claimant respectfully requests that the Court enter judgment in the terms of the Award. In terms of RDC 43.75(2) once an award is recognised and enforced, the Court may enter judgment in terms of that award. Converting the Award into a formal DIFC judgment would ensure that the Award would be enforceable internationally.
43. For instance, under India's Code of Civil Procedure, 1908, a decree of a "superior court" in a "reciprocating territory" (which includes the UAE) is treated as a foreign judgment. A judgment in the Award's terms would meet such requirements and avoid any doubt or delay in execution of the Award internationally. A draft judgment in terms of the Award is submitted for the Court's consideration.

IX. CONCLUSION

44. I confirm that I have disclosed all material facts in this witness statement.
45. In light of the above, I request the Court to make the order in the terms of the draft order filed with the Arbitration Claim.

X. STATEMENT OF TRUTH

46. I believe that the contents of this witness statement are true.

SIGNED by the below-named)

Andrei Tarasko)

on this 17th day of March 2026)

in Dubai, UAE)

